

Increased scope for a US-Iran deal – strategy trades

We make a further strategy shift towards a more positive US-Iran outcome but are still watchful of risks.

- The scope for a US-Iran deal to reopen the Strait of Hormuz has increased, although there is still some risk of failure to reach a near-term deal.
- Following our conviction level changes on 22 May (namely lowering the high conviction short S/SE Asia FX recommendations), we further shift our strategy trade recommendations, based on the relatively positive US-Iran developments over the weekend.
- In **Asia FX**, we raise (today) the conviction level on our short USD/CNH position to 4/5, initiate a short USD/TWD position (3/5), maintain our long SGD/IDR (4/5) and long EUR/INR (3/5) positions, and take profit on our long EUR/PHP position (lower conviction level to 2/5).
- In **G10 FX**, we take profit on long EUR/SEK (lower conviction level to 2/5), but maintain our long CHF/JPY (4/5), long EUR/GBP (3/5) and long USD/CAD (3/5) positions.
- In **Asia rates**, we maintain a high conviction level (4/5) on our receive 2y fwd 2y Korea NDIRS and also maintain a receive Jun-1y SORA (3/5) position.

Risks remain, but the **scope for a deal between the US and Iran to re-open the Strait of Hormuz has increased**. On 22 May, we highlighted in our *Key Focus and Themes* report the elevated two-way risks (positive/negative) on the US-Iran front, which led us to lower the conviction levels on our short South/Southeast Asia FX recommendations.

Since then, **more positive news has emerged**, with Trump (*Bloomberg*, 24 May) stating over the weekend that a peace deal has been “largely negotiated” and he plans to announce an agreement shortly to reopen the Strait of Hormuz. On the Iran side, Foreign Ministry spokesman Esmail Baghaei stated (*Bloomberg*, 23 May) that a “memorandum of understanding” to end the war was the first phase and a broader agreement was likely within 30 to 60 days.

Despite incrementally positive news, the risk of failure of any near-term deal remains

In addition to Trump stating that he won't rush into a deal, he noted that the US would view any toll system by Iran as unacceptable (although US officials noted on *Bloomberg* (24 May) that Hormuz won't be open the way it was, potentially suggesting a toll might be acceptable, and that the US blockade will remain in full force until an agreement is reached.

Iran's demands – that the Strait will remain under the management of Iran – also remain intact. Supreme Leader Khamenei also stated (*Bloomberg*, 21 May) that the enriched uranium must stay in Iran, although there are some reports that Iran may down-blend the uranium under IAEA supervision.

Overall, the clear positive is that both US and Iran have signalled a narrowing of differences...

We continue to believe the US will be able to re-open the Strait of Hormuz, with many of the demands from Iran (e.g., toll, enriched Uranium) to be discussed at a later stage. However, it is still unclear whether the US will demand these in first instance (i.e., before a re-opening of the Strait of Hormuz). If the US pushes these issues out, we **would see potential for a further rally in risk assets and a softening of the USD/recovery in some Asia FX**. If the US demands any of these before a re-opening, Iran would likely continue to hold out and not reach an agreement with the US.

... and we make further changes to our strategy trade recommendations, accordingly

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Given the emergence of these events and some scope for positivity, we make further changes to our strategy trade recommendations (more details ahead). **In Asia FX**, we raise the conviction level for our **short USD/CNH** position to 4/5 (from 3), maintaining our 6.60 target by end-August (entry: 8 May). We maintain our **long SGD/IDR** position (conviction level: 4/5; target: 14,200 by end-August 2026; entry: 9 January), while we hold our **long EUR/INR** at a 3/5 conviction level (target: 113 by end-August 2026; entry: 1 April). We enter a **short USD/TWD** position (conviction level: 3/5; target: 30.5 by end-September), and take profit on our **long EUR/PHP** (last at 3/5 conviction level). **In Asia rates**, we maintain a high conviction level (4/5) in our receive 2y fwd 2y Korea NDIRS position, and also maintain a receive Jun-1y SORA (3/5) position. In **G10 FX**, we **take profit** on long EUR/SEK (now 2/5), and maintain our long CHF/JPY (4/5), long EUR/GBP (3/5) and long USD/CAD (3/5) positions.

Asia FX

Short USD/CNH: We **raise the conviction level on our short USD/CNH position to 4/5** (from 3), targeting 6.60 (~3% gains) by end-August. With rising scope for a US-Iran deal (see above), we are more convinced that USD/CNH can move significantly lower along with a weaker broad USD: 1) **USD/CNH was much more sensitive to downmoves in DXY than upmoves**. From the start of the Iran war (28 February) to date, DXY is 1.4% higher, while USD/CNH is actually 1.2% lower. During this period, the sensitivity of USD/CNH to upward moves in DXY has been low at ~24%, while USD/CNH's **sensitivity** to DXY moves lower is much stronger at ~54%; 2) **the USD/CNY daily fixing continues to drift lower amid some official constraint**. Today, the USD/CNY fixing came in another 55 pips lower to reach a new low of 6.8318 (since 15 February 2023), with the positive error remaining stable at 448 pips; 3) **onshore corporates are likely to continue repatriating USD holdings**, owing to China's continued strong export growth, as well as some local expectations for RMB appreciation; 4) a **constructive backdrop** for US-China relations provides a conducive environment for China capital inflows; and 5) **RMB appreciation should also be supported by its substantial undervaluation**. Based on our four FX valuation models, RMB remains undervalued by an average of 9.5%, with its productivity-adjusted REER undervalued by 19.3%.

Short USD/TWD: We **initiate a short USD/TWD position** with a modest conviction level of 3/5, targeting 30.5 (~3% gains) by end-September. Amid a potential US-Iran agreement that could re-open the Strait of Hormuz (see above), we see scope for TWD to appreciate, driven by: 1) **a likely softer USD and risk positive environment**, which should facilitate TWD appreciation against USD, alongside a broadly lower USD/Asia complex. Our expectation for CNH appreciation (see above) should also provide a tailwind for TWD; 2) **despite being highly exposed to the Hormuz energy shock, TWD has outperformed within AeJ since the onset of the Iran war, owing to the strength of its tech sector**. Therefore, we would expect TWD to enjoy a tailwind, if energy prices ease from currently elevated levels. Conversely, if the US-Iran stalemate continues, we would also not expect TWD to depreciate much; 3) **Taiwan should remain a significant beneficiary of strong global AI demand and capex**. Global tech investment shows **no signs of slowing**, as US hyperscalers have ramped up their FY2026 capex guidance in their Q1 earnings calls by ~USD55bn from their previous forecasts. Locally in Taiwan, TSMC's strong capex (~USD70bn in 2027) and **local sourcing plan** will likely be another positive catalyst for Taiwan domestic semi supply chain. Overall, we expect foreign equity inflows to remain supportive for TWD; 4) **global AI demand is, in turn, supporting robust local fundamentals**. Our economics team recently **revised up** their 2026 Taiwan GDP growth forecast to 8.4% from 8.0%, reflecting the strong AI-led export and investment cycle, which should more than offset the impact of the Middle East shock; 5) **a softer USD environment may offer some Taiwan lifers and exporters an opportunity** to consider increasing their FX hedging ratios (tactically) and reducing their USD hoarding, respectively, especially if USD/TWD swap points are in premium; and 6) **potential scrutiny from the US Treasury on Taiwan's currency practices** and macroeconomic policies. The US Treasury also released joint FX statements with several key Asian central banks, including the CBC (14 November 2025) that emphasized a commitment to not target exchange rates for competitive advantage. This may somewhat limit CBC's USD buying inclination.

Long SGD/IDR: Following the lowering of our conviction level **on 22 May**, owing to the positive US-Iran developments, we **maintain our conviction level at this same elevated 4/5 today**. Even if the external front improves, we still see plenty of drivers for IDR to underperform, including: 1) **growing market concern over President Prabowo's plan**

to centralise exports of natural resources (starting with palm oil, coal and iron alloys) through a new state agency named Danantara Sumberdaya Indonesia (*Bloomberg*, 25 May). Details for this ambitious plan remain in the works, which is adding significant uncertainty for key players in Indonesia's commodity markets. In our view, this policy shift comes with significant medium-term risks, which include the potential for foreign investors to pull out their investments from Indonesia, and we see longer-term ramifications for FDI in Indonesia; 2) **S&P has also raised concerns about this** (*Bloomberg*, 21 May), which increases the risk of **S&P shifting its rating outlook on Indonesia to negative** in June/July; 3) **Indonesia's fiscal developments and outlook remain dire**; 4) **BI's comments were dovish, despite its larger-than-expected 50bp hike on 20 May**; 5) **growing concerns over BI's mandate and independence**. The government will continue discussions on the draft law on the Development and Strengthening of the Financial Sector during this current parliamentary session (12 May to 21 July). This includes discussions on the *expansion* of BI's mandate to include a focus on the economy, and authorizing the DPR to recommend the *dismissal* of members of the BI Board of Governors; and 6) **seasonality suggests a weaker current account balance in Q2**, while the **potential for further measures by MSCI and FTSE Russell to adjust the weightings of Indonesia stocks could maintain foreign portfolio outflow pressures**.

In **Singapore**, we continue to see scope for SGD to outperform, as: 1) **the economy remains resilient**. Singapore's final **Q1 GDP growth was revised up sharply to 6.0% y-o-y** (on 25 May) from the advance estimate of 4.6%. Accordingly, the MTI also maintained its 2026 Singapore GDP growth forecast of 2-4%, in contrast with its *earlier indications* of a reduction; 2) **inflationary pressures are rising**. Despite April core inflation growth surprising to the downside at 1.4% y-o-y (March: 1.7%; consensus: 1.8%), the MAS statement (25 May) continues to highlight that risks to the inflation outlook are tilted to the upside; and 3) **still-stable US financial conditions (for now) and the strong Singapore macro backdrop should lead to the MAS tightening its FX policy again in July**. We expect another slight S\$NEER slope increase by the MAS.

Long EUR/INR: We maintain the conviction level on our **long EUR/INR trade at 3/5** (lowered conviction to 3/5 on *22 May*). We lower the stop on this trade to 110.5 (i.e., 2.4% profit from entry) to provide some buffer for potential RBI intervention. We continue to believe in relative INR underperformance over the medium term, mainly because **RBI is likely to be a persistent source of FX demand on any dips in USD**, owing to the significant draining of its FX reserves. Since March 2026, we estimate the **RBI has sold USD26.5bn of spot reserves** (up to 15 May 2026), and the short forward book **expanded by USD25.4bn** in March 2026 (latest available). India has also struggled with attracting portfolio inflows, as the broader equity index (i.e., Sensex) remains one of the worst performing indices in Asia YTD. **Owing to some stagflationary concerns, portfolio outflow pressures are likely to continue**, with foreign portfolio (equities and bonds) outflows amounting to USD2.1bn in May MTD (1 to 21 May).

Long EUR/PHP: We take profit on our long EUR/PHP by lowering the conviction level to 2/5 (from 3; lowered conviction to 3/5 on *22 May*). PHP has been among the worst performing currencies in AeJ, with PHP depreciating ~6.1% against the USD since the onset of the Iran war. A US-Iran deal could also improve **market expectations on FX remittances** by Philippines' overseas workers. Furthermore, **BSP's laissez-faire approach to FX policy** also suggests BSP may not lean strongly against USD/PHP's potential reversal lower, if a US-Iran agreement materialises. This could lead to short-term PHP outperformance, which is why we decided to take profit on the position. Nonetheless, we believe medium-term depreciation pressures on PHP from higher current account deficits, local FX deposit outflows and political uncertainties are likely to persist over the medium term.

G10 FX

Long CHF/JPY: We have aimed to limit exposure to the energy theme in recent weeks, given the inherent uncertainty and volatility around the Middle East situation. That said, **our highest conviction level trade remains long CHF/JPY**, and this should benefit slightly from an easing of tensions, as European currencies in general gain on potentially lower energy prices. The fact that USD/JPY has edged away from its recent highs should limit the risk of near-term intervention by the MOF to strengthen JPY, while for CHF, we believe we are still a little way from notable FX purchases by the SNB. Seasonal flow pressures should remain positive for CHF in the weeks ahead.

Long EUR/GBP: We remain **long EUR/GBP**, although we can understand the potential

for some GBP outperformance on improved risk sentiment. **If the focus on the Middle East starts to fade, local cyclical stories should then become more important again.** On that front, there is a risk BoE decides not to hike, in light of the soft local labour market and recent inflation data, while the ECB still seems committed to hiking. This, as well as UK political risks, justify EUR/GBP trading higher, in our view.

Long EUR/SEK and long USD/CAD: We **took profit on our long EUR/SEK** trade for a small gain, as we think SEK will receive some more near-term positivity than EUR, even though we think the Riksbank can remain more dovish than the ECB. We also **maintain our long USD/CAD recommendation**, which we do note has recently had a positive beta to oil prices, but where we think the persistent improvement in the US economic outlook relative to Canada's should favour a move higher in rates spreads, as BoC rate hike expectations decline. That said, we would also consider shifting the short CAD leg to another pair, such as long EUR/CAD, if recent US hawkishness were to fade on lower oil prices

Rates strategy

Fresh hope of a deal to end the US-Iran conflict led to a relief rally in Asia rates this morning. While details remain to be seen and oil prices are unlikely to fall back to levels seen before the war, a deal should at least result in the rate hike premia in some countries coming off. In Asia, Korea and India are the two markets that are pricing in the most hikes (in Korea, ~100bp are priced over next 12 months, and in India, there is still close to 100bp priced over the next four meetings). We are more positive on Korea than India, as the BOK is less likely to surprise with large one-off hikes and as fiscal/bond supply-demand dynamics are better in Korea (WGBI inflows). We **maintain a receive 2y2y Korea NDIRS at a high conviction level of 4/5** and target a move to 3.75%. In our base case, the BOK stays on a hawkish hold, but even if it embarks on a rate hike cycle, we believe the market would price back rate cuts after the 2y point and the curve should flatten.

In **Singapore**, we **maintain a receive Jun-1y SORA position** on the view that SGD inflows will continue, with FX reserves still increasing. We expect the SORA fixing to average ~1.1% and receiving in the front end still offers good carry. Separately, we maintain a **pay Jun-10y HK IRS position**, albeit at a lower conviction level of 3/5, after we reduced from 4/5 last week, as we believe the US will remain above pre-war levels, with recent growth data and NFP on the strong side, while better Hong Kong macro and bond supply sentiment should continue to support a narrower HK-US spread.

Please see **Strategy portfolio update** (7 May 2026) for our full portfolio.

Fig. 1: Trade ideas

Trade	Target	Timeline	Conviction (0-5)	Entry Date
*NEW - Short USD/TWD	30.5	end-Sep	3	25-May-26
Long USD/CAD	1.425	end-Jul	3	22-May-26
Receive 2y2y Korea NDIRS	3.75%	end-Jun	4	22-May-26
Receive Jun-IMM 1y SORA	1.20%	end-Jun	3	15-May-26
Short USD/CNH	6.6	end-Aug	4	8-May-26
Long 12m USD/HKD	7.8	12-May-27	3	8-May-26
Short AUD/NZD	1.1800	end-Jun	3	30-Apr-26
Long CNH vs 6FX abridged basket	-	-	2	8-May-26
Long CHF/JPY	206.5	end-Jun	4	30-Apr-26
Long EUR/PHP	-	-	2	25-May-26
Long EUR/SEK	-	-	2	17-Apr-26
Pay Jun-3y China NDIRS	15bp gain	end-Jun	3	14-Apr-26
Receive Jun-IMM 5y THOR (50% vs. US)	20bp gain	end-Jun	3	8-Apr-26
Long EUR/INR	113	end-Aug	3	1-Apr-26
Pay Jun-IMM 10y HK IRS	50bp gain	end-Jun	3	6-Mar-26
Long USD/THB	-	-	1	2-Feb-26
Long 9m USD/HKD	7.8	27-Oct-26	3	23-Jan-26
Long 12m USD/HKD	7.8	27-Jan-27	3	23-Jan-26
Long SGD/IDR	14,200	end-Aug	4	9-Jan-26
Long EUR/GBP	0.8950	end-Jun	3	9-Jan-26

Note: Conviction scale: 1 – Watch; 2 – Watch Closely; 3 - Positioned @ 1/3 desired; 4 – Positioned @ 2/3 desired; 5 – Positioned @ 100% desired.
Source: Nomura.

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